Payroll Processing SOP & Calendar (HR)

HR-internal month-end playbook: inputs, cut-offs, validation checks, payroll ru reconciliation and payroll-error handling.

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EFFECTIVE	01 APR 2026
FOR	HR TEAM ONLY
CLASSIFICATION	CONFIDENTIAL / HR INTERNAL

This SOP describes how People Operations processes Indian payroll each month. It is the working standard for the payroll pod; treat exceptions (client-calendar deputations, entity changes, terminated mid-cycle runs) as deviation cases needing the payroll head's sign-off, not surprises.

1. Monthly calendar

Date	Step	Owner
1st working day	Attendance / LOP freeze extract from HRIS	HR Ops analyst
1st–5th	New joins, exits, transfers, salary changes loaded & checked	HR Ops
6th–8th	LOP, arrears, comp-off, overtime and regularization updates	HR Ops + Location HR
9th	Input validation meeting (ops + payroll vendor)	Payroll lead
10th	Lock input; late items move to next cycle	Payroll lead
11th–17th	Trial run 1: statutory outputs, cost-centre summaries	Vendor
18th–20th	HR-side checks: exceptions >5% pay delta; deck to finance	Payroll lead
22nd	Final run; bank file generated and reviewed	Vendor + Finance
24th	Bank file upload (mapped to disbursement date)	Finance
1st next month	Salary credit; payslip release; payroll email helpline open	HR Ops

2. Standing validation checks (before every final run)

- Zero-tolerance list: negative net pay; >25% delta versus last month; duplicate bank accounts across active employees; LOP >10 days without an exit/leave record.
- New-joiner first-pay check: proration basis, PF enrolment (EPAN present), tax regime on record.
- Exit reconciliation overlap: FnF files never part of the regular run — separate cycle per the exit SOP.
- Comp-off and overtime units only from approved tickets (no manual entries without a ticket id referenced in comments).

3. Errors after disbursement

Bank reversals and re-credits are processed in the next run with a correction memo; never adjust informally. An employee-reported pay issue is registered as a payroll ticket, triaged within 1 working day, and resolved or explained before the following credit date. A pattern of similar errors in one cycle (3+) triggers a root-cause review of the failed input.

4. Statutory outputs

Each cycle closes with PF ECR, ESI contribution, PT filings, LWF and professional-tax returns, and Form-16 workings begin after the March reconciliation. Returns calendar is maintained by the compliance calendar sheet linked in the payroll network drive.

5. Records

Bank files, variance memos and approval emails for every cycle are archived 8 years (statutory records retention). Employee payslips are portal-access only — HR never emails payslips, even on request; persistence gets a portal walkthrough instead.